

ECONOMICS GRADE 12th PRACTICE QUESTION

- **PART THREE**

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****51. If the government is intended to target specific sectors of the economy, which policy instrument would be used? ****

- A. Fiscal policy
- B. Monetary policy
- C. Income policy
- D. Exchange rate policy
- ****Answer: ** A. Fiscal policy**
 - ****Explanation: ****
 - ****Fiscal Policy: **** Fiscal policy involves the government's use of spending and taxation to influence the economy. It can be used to target specific sectors or industries by directing spending towards those areas or offering tax incentives. For example, the government could invest in renewable energy projects, offer tax credits for research and development, or subsidize specific industries.

****52. Which of the following measures have to be adopted to curb out inflation from the economy? ****

- A. Increase in government expenditure and reduction in taxation.
 - B. Decrease in government expenditure and increase in taxation.
 - C. Increase in transfer payments and increase in taxation.
 - D. Decrease in transfer payments and decrease in taxation.
- ****Answer: ** B. Decrease in government expenditure and increase in taxation.**
 - ****Explanation: ****
 - ****Inflation: ** This can be tackled by reducing spending and increasing revenue.**
 - **To curb inflation, the government should adopt policies that decrease aggregate demand. Option B, decreasing government expenditure and increasing taxation, achieves this:**
 - *** Decreasing Government Expenditure: Reduces the amount of money injected into the economy.**
 - *** Increasing Taxation: Takes money out of consumers' pockets, reducing their spending power.**

****53. Suppose the value of the Kenyan shilling in terms of the Sudanese pound is getting lower. What is the impact of this on Kenyan export to Sudan? ****

- A. It will make the price of Kenyan goods in Sudanese market cheaper.
 - B. It will make the price of Sudanese import in the Kenyan market expensive.
 - C. It will decrease Kenya's export earnings.
 - D. It will increase Kenya's export earnings.
- ****Answer: ** A. It will make the price of Kenyan goods in Sudanese market cheaper.**
- ****Explanation: ****
 - **If the Kenyan shilling is getting weaker **relative** to the Sudanese pound (meaning it takes more Kenyan shillings to buy one Sudanese pound), Kenyan goods become **relatively** cheaper for Sudanese consumers. Because the Sudanese pound has more purchasing power, Kenyan export to Sudan will see an increase.**

****54.** Suppose the Ethiopian population is estimated to be 120 million in the year 2016 E.C. The number of children below the age of 14 is 30 million while the number of the elder ones above the age of 65 is 10 million. If the total number of economically inactive population is 5 million whereas those people who are unemployed are 20 million. Then what are the total number of labor force and the employment rate, respectively? ******

- A. 70 million & 27%
- B. 73 million & 75 %
- C. 75 million & 73%
- D. 27 million & 20%

• ****Answer: ** C. 75 million & 73%**

• ****Explanation: ****

• Here's how to calculate the labor force and employment rate:

• 1. ****Working-Age Population: **** This is the total population ***minus*** those too young or too old to work.

• *** 120 million (Total Population) - 30 million (Children) - 10 million (Elderly) = 80 million**

• 2. ****Labor Force: **** This is the working-age population ***minus*** the economically inactive population.

• *** 80 million (Working-Age Population) - 5 million (Economically Inactive) = 75 million**

• 3. ****Employed: **** This is the labor force ***minus*** the unemployed.

• *** 75 million (Labor Force) - 20 million (Unemployed) = 55 million**

• 4. ****Employment Rate: **** (Number Employed / Labor Force) $\times 100 = (55 \text{ million} / 75 \text{ million}) \times 100 = 73.33\%$ (approximately 73%)

****55. If a farmer sells wheat to Miller for birr.1000 and miller sells flour to baker for birr.1200 and baker sells bread to consumer for birr.1500, then total value added by Miller and baker is: ****

- A. 500
- B. 1000
- C. 1200
- D.1500
- ****Answer: ** A. 500**
 - ****Explanation: ****
 - **1. **Value added by Miller: ** Sales to Baker-Purchase from farmer = Birr.1200 - Birr. 1000 = Birr. 200**
 - **2. **Value added by Baker: ** Sales to consumer - Purchase from Miller = Birr. 1500 - Birr. 1200 = Birr. 300**
 - **Total added Value = 200+300 = 500**

****56. What is meant by "unrequited" in the definition of tax? ****

- A. Taxes paid voluntarily.
 - B. Taxes paid in return for goods.
 - C. Taxes paid without a direct return benefit.
 - D. Taxes collected based on income.
- ****Answer: ** C. Taxes paid without a direct return benefit.**
 - ****Explanation: ****
 - "Unrequited" means that taxes are a compulsory payment to the government that does ***not*** guarantee a direct benefit or service in return to the individual taxpayer. While taxpayers receive indirect benefits from government spending (e.g., infrastructure, security, education), there is no specific, direct exchange of goods or services for the tax payment itself. If you directly pay for goods or services from the government, it is not a tax; it is a user fee.

****57. _____ is imposed on selected goods such as luxury goods, Cigarettes and Alcohols. ****

- A. Withholding tax
- B. Stamp duties
- C. Excise duties
- D. Sur tax

• ****Answer: ** C. Excise duties**

- ****Explanation: ****
- **Excise duties are taxes imposed on specific goods, often those considered non-essential, luxury, or harmful. These taxes are commonly levied on items such as alcohol, tobacco products, and luxury goods. The goals are to raise revenue, discourage consumption of these items, or both.**

****58. What is the key characteristic of a good tax system? ****

- A. It is voluntary and non-binding.
 - B. It is simple, financially adequate, and elastic.
 - C. It is transparent and arbitrary.
 - D. It relies on high tax rates
- ****Answer: ** B. It is simple, financially adequate, and elastic.**
 - ****Explanation: ****
 - **A good tax system should be:**
 - ****Simple: ** Easy to understand and comply with, minimizing administrative costs.**
 - ****Financially Adequate: ** Able to generate sufficient revenue to meet the government's needs.**
 - ****Elastic: ** Responsive to changes in economic activity, allowing revenue to grow with the economy.**

****59. What does a progressive tax system ensure? ****

- A. Everyone pays the same amount of tax.
 - B. Higher income individuals pay a higher share of tax
 - C. Wealthy individuals pay fewer taxes
 - D. Taxes are regressive for all income groups
- ****Answer: ** B. Higher income individuals pay a higher share of tax**
 - ****Explanation: ****
 - **A progressive tax system is characterized by higher-income individuals paying a larger percentage of their income in taxes compared to lower-income individuals. This means that the tax rate increases as income increases. The goal is to promote income equality and ensure that those with greater ability to pay contribute more to government revenue.**

****60. Which principle of taxation ensures that taxpayers are taxed based on their ability to pay? ****

- A. Canon of economy
 - B. Canon of equity
 - C. Canon of fiscal adequacy
 - D. Canon of certainty
- ****Answer: ** B. Canon of equity**
 - ****Explanation: ****
 - The "canon of equity" in taxation, also known as the "ability-to-pay principle," asserts that taxpayers should contribute to government revenue in proportion to their capacity to pay. This means that those with higher incomes or greater wealth should pay more in taxes than those with lower incomes or less wealth. This principle aims to promote fairness and reduce income inequality.

****61. In which situation would the principle of "tax incidence" be most relevant? ****

- A. When distributing the burden of tax among different groups.
 - B. When determining the source of government r
 - C. When calculating tax rates for different commodities.
 - D. When establishing the due date for tax payments.
- ****Answer: ** A. When distributing the burden of tax among different groups.**
 - ****Explanation: ****
 - "Tax incidence" refers to the ultimate distribution of the burden of a tax. It determines who **actually** bears the cost of the tax, which may not be the person or entity that is legally required to pay the tax. The principle of tax incidence is most relevant when analyzing how the tax burden is distributed among different groups (e.g., consumers, producers, workers, landlords).

****62. What is a key difference between direct and indirect taxes? ****

- A. Direct taxes are paid by consumers; indirect taxes are paid by producers.
 - B. Direct taxes are paid by the income earner; indirect taxes are paid by consumers.
 - C. Direct taxes are not compulsory; indirect taxes are compulsory.
 - D. Direct taxes impact consumers, whereas indirect taxes impact producers.
- ****Answer: ** B. Direct taxes are paid by the income earner; indirect taxes are paid by consumers.**
 - ****Explanation: ****
 - The key difference between direct and indirect taxes lies in who is legally responsible for paying the tax to the government:
 - ****Direct Taxes: **** Paid directly by the individual or entity that bears the economic burden. Examples include income tax and property tax.
 - ****Indirect Taxes: **** Paid by one entity (e.g., a retailer) but ultimately passed on to another (e.g., the consumer) through higher prices. Examples include sales tax and excise duties.

****63. If a government wants to ensure economic stability and growth, which principle should it adopt when designing a tax system? ****

- A. Simplicity and fairness
 - B. Dependence on foreign aid
 - C. High rates of direct taxes
 - D. Flexibility and economic efficiency
- ****Answer: ** D. Flexibility and economic efficiency**
- ****Explanation: ****
 - **To ensure economic stability and growth, a government should adopt a tax system that:**
 - ****Is Flexible: ** Able to adapt to changing economic conditions.**
 - ****Promotes Economic Efficiency: ** Minimizes distortions in economic activity and encourages efficient resource allocation.**

****64. In what way does the "ability-to-pay" approach relate to vertical equity in taxation? ****

- A. It ensures equal tax obligations for all taxpayers.
 - B. It imposes higher tax burdens on those with greater financial resources.
 - C. It ensures that only the wealthy are taxed at higher rates.
 - D. It is not related to vertical equity.
- ****Answer: ** B. It imposes higher tax burdens on those with greater financial resources.**
 - ****Explanation: ****
 - ****Vertical equity**** refers to the idea that those with a greater ability to pay taxes (higher income, more wealth) should pay **more** in taxes than those with less ability to pay. The “ability-to-pay” approach directly supports this principle because it advocates for those with greater financial resources to bear a larger share of the tax burden.



****65. Which of the following is an exempt income in Ethiopia? ****

- A. Salary from employment.
 - B. Gratuity received upon termination of employment.
 - C. Medical treatment expenses for employee.
 - D. Rental Income.
- ****Answer: ** C. Medical treatment expenses for employee.**
 - ****Explanation: ****
 - In Ethiopia, some income sources are exempt from taxation. While salary and rental income are taxable, reasonable medical treatment expenses for an employee are generally exempt from income tax. Gratuity above a certain threshold is also taxed.



****66. What is the purpose of excise tax in Ethiopia?**

- A. To tax luxury items
- B. To raise income from imports
- C. To prevent tax evasion
- D. To promote business growth
- ****Answer: ** A. To tax luxury items**
 - ****Explanation: ****
 - Excise taxes are typically imposed on specific goods, such as luxury items, alcohol, tobacco, and fuel. The purpose is to raise revenue from these items, which are often considered non-essential or harmful. The taxes can also serve to discourage consumption of these items.



****67. Which of the following scenarios best illustrates tax evasion in Ethiopia? ****

- A. A business reports income accurately and pays the due taxes.
 - B. A taxpayer utilizes legal exemptions and deductions to reduce taxes.
 - C. A company reports its profits but not its expenses.
 - D. An individual underreports income to reduce their tax liability.
- ****Answer: ** D. An individual underreports income to reduce their tax liability.**
 - ****Explanation: ****
 - **Tax evasion is the illegal act of intentionally avoiding paying taxes that are legally owed. Underreporting income is a direct and illegal method of reducing tax liability. Tax avoidance, on the other hand, involves legally minimizing tax liability by utilizing deductions and exemptions.**



****68. Which of the following statements best contrasts relative poverty with absolute poverty? ****

- A. Absolute poverty is concerned with deprivation of basic needs, while relative poverty focuses on inequality within a society or region.
- B. Relative poverty is more severe than absolute poverty.
- C. Absolute poverty affects people living in cities, while relative poverty affects rural populations.
- D. Both types of poverty refer only to economic deprivation.
- ****Answer: ** A. Absolute poverty is concerned with deprivation of basic needs, while relative poverty focuses on inequality within a society or region.**
 - ****Explanation: ****
 - Absolute poverty refers to a lack of basic necessities (food, shelter, healthcare) to survive. Relative poverty, on the other hand, refers to a state of living below the average standard of living in a particular society.



****69. Why do we need to measure poverty? ****

- A. To eliminate all economic disparities
 - B. To keep poor people on the agenda, identify them, and evaluate interventions
 - C. To increase economic inequality
 - D. To reduce government spending on social services
- ****Answer: ** B. To keep poor people on the agenda, identify them, and evaluate interventions**
 - ****Explanation: ****
 - ****Measurement of poverty is essential to:**
 - - Focus on poor people.
 - - Understand their current conditions
 - - Evaluate policy and interventions
 - - Alleviate poverty.



****70. What is the Foster-Greer-Thornback (FGT) Index used for? ****

- A. To evaluate income inequality across a population
- B. To calculate GDP growth
- C. To understand the degree of income inequality among the poor
- D. To measure the unemployment rate
- ****Answer: ** C. To understand the degree of income inequality among the poor**
- ****Explanation: ****
- **The Foster-Greer-Thornback (FGT) indices are a class of poverty measures used to assess the level and depth of poverty within a population. These indices are particularly useful for understanding the degree of income inequality among the poor. The FGT indices are sensitive to both the number of poor people and the extent to which their incomes fall below the poverty line.**

****71. If a country's poverty rate is measured using the headcount index, which of the following factors is most likely to influence the result? ****

- A. The total population size
 - B. The exact amount of income of all individuals
 - C. The percentage of the population living below the poverty line
 - D. The wealth distribution across the population
- ****Answer: ** C. The percentage of the population living below the poverty line**
- ****Explanation: ****
 - **The headcount index is a simple poverty measure that calculates the proportion of the population whose income falls below the poverty line. The factor that is most likely to influence the result is the percentage of the population living below the poverty line.**

****72. In a poverty measurement survey, if a person is found to have insufficient electricity and inadequate sanitation, under which dimension would these deprivations be categorized? ****

- A. Health
 - B. Education
 - C. Standard of living
 - D. Employment
- ****Answer: ** C. Standard of living**
 - ****Explanation: ****
 - **Insufficient electricity and inadequate sanitation directly relate to a person's living conditions and access to basic amenities, which are key components of their standard of living.**

****73. In Sen's capability approach, what matters for determining poverty? ****

- A. Only the amount of income a person has.
 - B. The number of resources available in society.
 - C. The number of commodities a person consumes.
 - D. The person's ability to achieve a set of functioning's.
- ****Answer: ** D. The person's ability to achieve a set of functioning's.**
 - ****Explanation: ****
 - Sen's capability approach emphasizes that poverty is not simply about a lack of income or resources, but about a lack of **capabilities**. Capabilities are the real opportunities that people have to achieve valuable "functioning's," which are states of being and doing that people have reason to value.

****74. What does the Lorenz curve represent? ****

- A. The population's income growth over time
 - B. The share of income received by different income groups
 - C. The number of households in poverty
 - D. The relationship between wealth and health
- ****Answer: ** B. The share of income received by different income groups**
 - ****Explanation: ****
 - The Lorenz curve is a graphical representation of income distribution, showing the cumulative percentage of income earned by the cumulative percentage of the population. It illustrates the degree of income inequality in a society. The further the Lorenz curve is from the line of perfect equality (a 45-degree line), the greater the income inequality.

****75. What does a Gini coefficient of 0 represent? ****

- A. Perfect inequality
- B. The top 10% controls 90% of the income
- C. Perfect equality
- D. Complete poverty

• ****Answer: ** C. Perfect equality**

• ****Explanation: ****

- The Gini coefficient is a measure of income inequality that ranges from 0 to 1. A Gini coefficient of 0 represents perfect equality, where everyone has the same income.

****76. Which region experienced almost no rate reduction in poverty from 1850 to 2000? ****

- A. Southeast Asia
- B. Latin America
- C. Sub-Saharan Africa
- D. Eastern Europe

• ****Answer: ** C. Sub-Saharan Africa**

• ****Explanation: ****

- **Sub-Saharan Africa is the region that has experienced the least progress in reducing poverty rates.**

****77. How can integrating women into development programs improve overall poverty alleviation? ****

- A. By focusing only on male participation in economic growth
 - B. By ensuring women's contributions to the economy and well-being of families
 - C. By limiting women's education to traditional roles
 - D. By restricting women's participation in formal-sector employment
- ****Answer: ** B. By ensuring women's contributions to the economy and well-being of families**
 - ****Explanation: ****
 - Integrating women into development programs can improve overall poverty alleviation by:
 - Recognizing and supporting women's economic roles as farmers, entrepreneurs, and workers.
 - Improving women's access to education, healthcare, and financial resources.
 - Addressing gender inequalities that limit women's opportunities.

****78. What strategy has Ethiopia adapted to combat poverty in alignment with the World Bank's recommendations? ****

- A. Structural Adjustment Programs (SAP)
 - B. Financial Assistance Packages (FAP)
 - C. Millennium Development Goals (MDGs)
 - D. Poverty Reduction Strategy Paper (PRSP)
- ****Answer: ** D. Poverty Reduction Strategy Paper (PRSP)**
 - ****Explanation: ****
 - ****A PRSP is a national strategy** developed by countries in consultation with stakeholders. It is used to seek debt relief and aid from international organizations like the World Bank and IMF**

****79. How does indigenous knowledge contribute to poverty reduction in Ethiopia? ****

- A. By utilizing locally available resources and social support systems
 - B. By providing formal financial services
 - C. By promoting large-scale industrialization
 - D. By encouraging the development of multinational corporations
- ****Answer: ** A. By utilizing locally available resources and social support systems**
 - ****Explanation: ****
 - **Indigenous knowledge contributes to poverty reduction by:**
 - **Providing sustainable and culturally appropriate solutions.**
 - **Utilizing locally available resources and social support systems.**
 - **Empowering communities and building resilience.**

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